

Grubb's \$377M FiDi Loan Shows Construction Debt Is Back, but Only for the Right Sponsor

A 64-story tower refinancing signals that private credit is willing to fund ground-up development, but only at scale.

Inside the \$377 million financing

\$377 million

Debt / financing

\$300 million

Debt / financing

\$77 million

Debt / financing

It is the lender

The most important number in Grubb Properties' \$377 million construction financing for 8 Carlisle Street is not the loan amount. It is the lender. Maxim Capital Group provided the \$300 million senior loan. Skylight Real Estate Partners and GreenBarn Investment Group supplied the \$77 million mezzanine piece. This is not agency debt. It is not a bank syndicate.

The deal matters because it shows that construction debt has not disappeared

It is private credit stepping into a role that most commercial banks have abandoned: financing ground-up residential development in a high-cost, high-risk market. The deal matters because it shows that construction debt has not disappeared. It has narrowed to a specific profile: large-scale projects in supply-constrained submarkets, sponsored by operators with a track record of execution, and structured with enough equity and mezzanine cushion to absorb delay or cost overrun.

Grubb paid \$89.2 million for the site in 2021, when the property was still an empty hole

Grubb paid \$89.2 million for the site in 2021, when the property was still an empty hole after a decade of litigation between the Ohebshalom family entities. The site had been stalled since 2007. Grubb did not buy a performing asset. It bought a development problem that required patience, capital, and entitlement navigation. That it secured \$377 million in financing four years later is a signal about sponsor credibility, not market euphoria.

Conversions reuse existing structures and typically carry lower construction risk

The project will rise 64 stories and 789 feet, with 462 units. It is one of the few ground-up residential towers in the Financial District, where most new supply has come from office-to-residential conversions. That distinction matters. Conversions reuse existing structures and typically carry lower construction risk and shorter timelines. Ground-up towers require deeper equity, longer duration, and more tolerance for uncertainty. The capital that funds them is inherently more selective.

Its willingness to lead a \$300 million senior loan suggests

Maxim Capital Group is not a household name in CRE finance, but it operates in the space where banks have retreated: transitional and construction assets. Its willingness to lead a \$300 million senior loan suggests that the underwriting is conservative, the sponsor is strong, and the exit is credible. The mezzanine piece from Skylight and GreenBarn adds another layer of capital that absorbs risk before the senior lender feels pain.

It is a sign of disciplined capital formation

That structure is not a sign of abundant liquidity. It is a sign of disciplined capital formation. Who benefits? Grubb gets the time and money to complete a tower that will define its New York presence. The lenders get a first-loss position behind significant equity and a project in a submarket with limited competing supply. The city gets housing units in a neighborhood that needs them. Who is exposed?

It signals that the bar has risen

Any developer without Grubb's balance sheet, track record, or site control. The deal does not signal that construction financing is broadly available. It signals that the bar has risen. Sponsors who cannot demonstrate a clear path to completion, a defensible basis, and a credible exit will find the capital markets closed. The broader pattern is clear. Private credit is filling the gap left by regional banks, but it is doing so selectively.

It is not lending on speculation

It is not lending on speculation. It is lending on execution. The projects that get financed are the ones where the math works at today's costs, today's rents, and today's interest rates. That is a narrower set than it was in 2021. The next thing to watch is the lease-up.

A 462-unit tower in FiDi will test whether demand for new rental product

A 462-unit tower in FiDi will test whether demand for new rental product in the neighborhood can absorb supply at the rents required to service this capital stack. If it does, the deal will be a template. If it does not, the mezzanine lenders will learn what "first-loss" really means. Construction debt is back. But it is back on terms that reward the few, not the many.

Why it matters

The deal matters because it shows that construction debt has not disappeared.

LIGHT TOWER GROUP